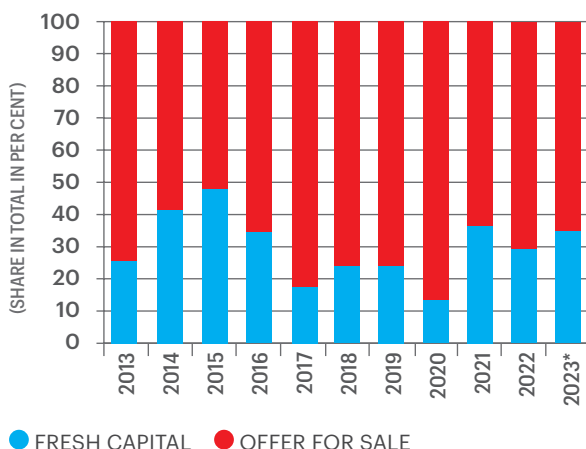


CAPITAL FLOWS

THE SHARE OF FRESH CAPITAL IN IPOs IN 2023 IS SET TO BE THE SECOND HIGHEST IN EIGHT YEARS

PRIVATE EQUITY AND VENTURE CAPITAL INVESTOR EXITS HAVE SLOWED IN 2023, BRINGING DOWN THE SHARE OF OFS



● FRESH CAPITAL ● OFFER FOR SALE

*DATA TILL AUGUST; SOURCE: PRIME DATABASE

Tata Play, IndiaFirst Life Insurance Company, Biba Fashion, Allied Blenders & Distillers, and Protean eGov Technologies have already received regulatory approval for their respective public issues and plan to raise anywhere between ₹1,500 crore and ₹6,000 crore each, per Prime Database data.

Further, there are names like Oravel Stays (OYO), National Securities Depository Ltd (NSDL), Go Digit General Insurance, Muthoot Microfin, Cello World, Fedbank Financial Services, and Jana Small Finance Bank that have filed DRHPs and plan to raise well over ₹1,000 crore each and are awaiting Sebi approval.

Mahavir Lunawat, Managing Director of Pantomath Capital Advisors, a mid-market investment banking firm, believes this spurt in IPOs is because of enhanced global confidence in India's robust economy.

"Investors are betting big on the potential upside the debutant stocks offer when compared to their listed peers," says Lunawat. Besides, fund inflows from foreign institutions and predictions of a normal monsoon are some other factors that have aided market buoyancy. "Incidentally, the number of IPOs hitting the street is also linked to the financial reporting cycle; September is the last month for [submitting]



KULBHUSHAN PARASHAR

FOUNDER AND MANAGING DIRECTOR, CORPORATE CAPITAL VENTURES

"IT IS IMPERATIVE TO EXERCISE CAUTION WHEN VALUATIONS ARE ELEVATED, SINCE THERE IS A POSSIBILITY OF SUBPAR FIRMS SEEKING VALUATIONS THAT ARE HIGHER THAN WHAT WOULD BE PRUDENT... IT IS ANTICIPATED THAT THIS MARKET WILL GRADUALLY RETURN TO A MORE RATIONAL STATE"

March 2023 financials," he adds.

The recent spurt in activity has been such that it has put India in pole position globally in terms of the number of IPOs in the first eight months of 2023, according to an analysis by data analytics and consulting firm GlobalData. And people are taking notice. A recent report by consulting major EY stated, "India is another standout market, showcasing strong growth in IPO volume, especially from SMEs."

"India has continued to increase its share in the global IPO number, from 6 per cent in 2021 to 11 per cent in 2022, and further increasing to 13 per cent YTD (year-to-date) in 2023," the report stated, adding that the "surge is largely due to SME IPOs showcasing the underlying entrepreneurial activity".

BIG SMALL PLAYERS

Indeed, the IPO story of 2023 appears to be as much about the small firms as it is about some of the big names. SMEs have raised over ₹2,500 crore this year in over 100 issues, making it the best calendar year in terms of total fundraising—bettering the previous record set in 2018 when ₹2,287 crore was raised through 141 SME IPOs.

In terms of the number of issues, too, this has been a good year. It is the fourth time that there have been over 100 SME IPOs in a calendar year since the BSE and the National Stock Exchange launched dedicated segments for listing such firms in 2012. In these years, the segment has grown by leaps and bounds, with nearly